

Yaskawa Electric (6506.T): Conf. Call Takeaways: Reconfirming the current status of ERP-related impact and path forward; maintain Buy

During the morning session on July 23, we hosted a conference call for domestic and foreign investors with Yaskawa Electric's Ayano Motonaga, Section Manager, Investor and Shareholder Relations Section, Corporate Communications Department. Since the discovery of the ERP-related impact, investor interest has been very high in the company's execution trends and the speed of problem resolution. Against this backdrop, our overall impression of the call, in which the company candidly explained the current situation, was positive. We reiterate our Buy rating on the stock (on CL). Within, we highlight company comments/our views that we believe warrant attention.

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Current production utilization and normalization outlook: Recovering from a May trough; preparing to increase output toward 2H recovery

Yaskawa Electric renewed its ERP system during the Golden Week holiday period in May. It conducted simulations and testing in advance and made thorough preparations for the transition, which itself proceeded smoothly. However, issues subsequently emerged during execution. The ERP transition substantially changed work processes and data-entry methods. On-site operations were unable to adapt quickly enough, resulting in significant disruption, mainly in processes before and after production. The impact varied considerably by business. The company reiterated that normalization has taken longer in businesses with longer lead times or more complex supply chains.

Monthly utilization rates by core business, on a single-shift basis, are as follows.

- AC servos: 91% in March, 85% in April, 51% in May, 64% in June, and around 70% based on preliminary data through mid-July.
- Inverters: 82% in March, 74% in April, 71% in May, 83% in June, and close to 100% in July.
- Robots: 68% in March, 65% in April, 34% in May, 51% in June, and around 70% in July.

All businesses have been recovering from the trough in May, and Yaskawa expects this trend to continue. Regarding the timing of normalization, defined as 100% utilization on a single-shift basis, Yaskawa said it is working through the remaining issues and is making steady progress toward restoring AC servo operations during August. Robots, where operations are more complex, are likely to require until

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around September to normalize. Conditions are diverging within the robot business. Conventional industrial robots, mainly produced at Plant No. 5, which has a higher degree of automation, are recovering smoothly. Utilization at Plant No. 5 alone has recovered to nearly 100%, per the company. In contrast, wafer-handling robots for semiconductor applications, which involve many labor-intensive manufacturing processes that are difficult to automate, remain at around 60% utilization. As indicated by 1Q orders, which drove the BB ratio well above 1X, the company is receiving inquiries that exceed the output it can support on a single-shift basis. It said it therefore needs to normalize operations promptly and move to production shifts above the single-shift level. The inverter business has already shifted to a 1.5-shift system. Yaskawa plans to increase AC servo production capacity to 1.3-1.4X current levels from 2H. For robots, it plans to raise output of wafer-handling robots for semiconductor applications, where supply capacity is the bottleneck, to 1.3-1.4X current levels, similar to AC servos.

Lead times from order receipt to shipment in the MC business, comprising AC servos and inverters, have lengthened modestly to four months from three months. As this is not an extreme extension, the company shared the view that the impact of the ERP implementation, as well as customers' precautionary advance orders, may remain limited. Robot lead times remain unchanged at three to six months.

Assessing the earnings impact: Focus is on normalization from 2Q onward (= quarterly operating profits of around ¥16.0 bn)

The company explained that its internal 1Q operating profit target had been around ¥12.0 bn, and that it had expected to achieve full-year operating profits of ¥60.0 bn over the remaining three quarters. This implies that it had been targeting quarterly operating profits of ¥16.0 bn from 2Q onward. Although actual 1Q operating profits of ¥8.5 bn fell substantially short, and despite the need to undertake various measures including catch-up production, the company said its stance of targeting quarterly operating profits of ¥16.0 bn has not changed materially. While normalization remains under way in 2Q, it indicated that it is still aiming to generate operating profits close to its original target level. Its assumed exchange rate remains ¥145/\$, suggesting that the company is seeking to recover through improvements in underlying fundamentals alone.

Yaskawa also explained that the 1Q ERP-related impact, including lost sales opportunities from revenue and inventory not being recognized, has the nature of a timing difference. In other words, it sees this as sales that can be recovered from 2Q onward. The company did not provide a quantitative breakdown of the amount deferred. However, it gave a positive indication that a meaningful portion of sales not recognized in 1Q could be booked in a concentrated manner from 2Q onward and contribute to earnings recovery.

This is also consistent with the company's explanation that, despite longer lead times, it has not seen order cancellations. Yaskawa noted that customization is important for AC servos and robots, making it difficult for customers to cancel orders or switch suppliers easily. AC servos are generally customized products because they are integrated into customers' manufacturing equipment, making a rapid switch to another supplier's products difficult. For robots, line configurations, usage methods, and individual specifications are designed from the inquiry stage, which inherently makes cancellations and switches to competitors less likely. Inverters are relatively more versatile and more readily substitutable. However, Yaskawa said that because production normalization was

quickest in this business, the risk has not materialized. Against this backdrop, the company expressed confidence that it should be able to recoup profits lost during the quarter.

Order trends: No lost opportunities seen; momentum likely to remain strong from 2Q onward

Demand is strengthening across all three core businesses for AI-related end markets, including semiconductors and data centers. The company commented that more than half of the increase in demand and orders may be AI-related.

One concrete example disclosed again today was order trends by end market for servo motors. First-quarter AC servo order momentum for semiconductor production equipment increased 16% qoq and more than tripled yoy. Demand for chip mounters used in PCB assembly is particularly strong at present. AC servo orders for electronic-component-related equipment, broadly defined, increased 18% qoq and 58% yoy. In the inverter business, HVAC orders increased 22% qoq and 28% yoy. While these figures appear more moderate than those for servos, the category includes general air-conditioning applications. The company indicated that most of the incremental demand is likely related to AI and data centers.

At the beginning of the fiscal year, Yaskawa had expected orders to be weighted toward 1H. However, it now noted that the upward order trend may continue without losing momentum after 1Q. It reiterated that the most important management issue is whether it can reliably convert these orders into sales.

Our view: We positively view the company's proactive approach

The favorable operating environment, centered on AI, had been readily apparent, and Yaskawa was clearly aware that expectations for its earnings had been very high. It therefore appears to have a strong sense of urgency over the substantial earnings shortfall caused by company-specific factors. Since the 1Q results, Yaskawa has clearly increased its engagement with investors, and we expect this to continue in the near term. Although the issue was an unexpected negative development, the company's indication that lost profits could be recouped is positive. We believe the stock's valuation can recover sufficiently and we maintain our Buy rating (on CL). Yaskawa has demonstrated a willingness to explain the current situation more proactively than before, and we expect to see the effects of this approach.

Price Target Risks and Methodology - Yaskawa Electric (6506.T)

Our 12-month target price of ¥9,000 is based on FY2/28E EV/EBITDA, applying the sector-average multiple of 10X and a 90% sector-relative premium.

Key downside risks include (1) a slowdown in semiconductor and AI Capex related business, (2) slower-than-expected results from cost optimization measures, and (3) disappointment in the capital policy and growth strategy in the next medium-term plan and long-term vision.

6506.T	12m Price Target: ¥9,000	Price: ¥5,312	Upside: 69.4%
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Buy CL		GS Forecast				
Market cap: ¥1.4tr / \$8.4bn		2/26	2/27E	2/28E	2/29E	
Enterprise value: ¥1.5tr / \$8.9bn		Revenue (¥ bn)	542.1	590.0	643.0	665.0
3m ADTV: ¥39.2bn / \$244.0mn		Op. profit (¥ bn)	47.3	64.0	90.0	100.0
Japan		Op. profit CoE (¥ bn)	48.0	60.0	–	–
Japan Industrials		EPS (¥)	135.9	194.7	274.1	308.3
M&A Rank: 3		P/E (X)	27.9	27.3	19.4	17.2
Leases incl. in net debt & EV?: No		P/B (X)	2.0	2.7	2.6	2.5
		Dividend yield (%)	1.8	1.4	2.1	2.3
		N debt/EBITDA (ex lease,X)	0.9	0.7	0.5	0.5
		CROCI (%)	8.0	12.6	14.9	15.6
		5/26	8/26E	11/26E	2/27E	
		EPS (¥)	21.0	46.3	50.1	77.3

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 23 Jul 2026 close.

Disclosure Appendix

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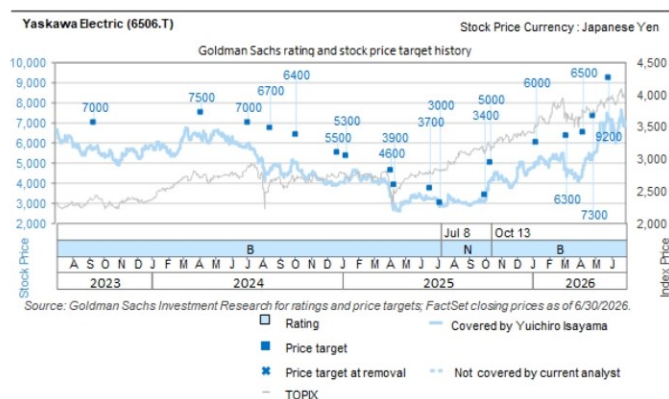
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Yaskawa Electric (6506.T)

Date of report Target price (¥) Closing price (¥)

13-Jul-26	9,000	5,972
28-May-26	9,200	7,136
29-Apr-26	7,300	5,381
10-Apr-26	6,500	4,894
09-Mar-26	6,300	4,325
09-Jan-26	6,000	5,026
13-Oct-25	5,000	4,085
03-Oct-25	3,400	3,178
08-Jul-25	3,000	2,833
20-Jun-25	3,700	3,190
11-Apr-25	3,900	2,881
06-Apr-25	4,600	3,344
10-Jan-25	5,300	4,271
24-Dec-24	5,500	3,950
04-Oct-24	6,400	5,023
16-Aug-24	6,700	4,796
05-Jul-24	7,000	5,972
05-Apr-24	7,500	6,174
13-Sep-23	7,000	5,725

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